

RS 1,45,000 CR LIQUIDITY INFUSED BY RBI SINCE OCT 1.



MANDHAR DEODHAR

"I thought this was the No. 2 airline in the world. Now, I really think it does not deserve the accolades."

VISHISHT PRADHAN 20, cabin crew member Laid off by Jet Airways

HAD PAID

the airline Rs 55,000 for training
On Tuesday morning, Pradhan, a fresh cabin crew member, stood waiting for the company vehicle to take him to the airport. Raring to serve, he was worried about being late for his five-day layover Mumbai-London-Muscat flight. He called up the rostering department, only to be informed curtly that his services were no longer required. As compensation, he has only got Rs 9,000—towards his basic salary—and a promise of repayment of Rs 55,000 that he had paid the airlines towards training. "The training is so specific that I will not get a job anywhere else." **by Swati Mathur**

"The outflow of funds, tighter liquidity and weakening of the rupee will impact the India story. The government needs to engineer a stimulus package."

DEEPAK PAREKH, CHAIRMAN, HDFC

"India needs to reinvent its business model to keep the growth story going. We need to focus on creating real assets that deliver real income."

MUKESH AMBANI, CHAIRMAN, RIL

"There may be a decoupling in the real economy but the financial sector is globally integrated. Slowdown in investment flows will impact India."

BIMAL JALAN, MP AND EX-RBI GOVERNOR

down to 6.5 per cent from 9 per cent in just 15 days. Factoring in the Rs 25,000 crore that RBI is releasing under the debt waiver scheme and Rs 20,000 crore for mutual funds, the total infusion is Rs 1,45,000 crore.

The migration from inflationary growth to a mauled slowdown has but naturally attracted political attention. In Mumbai on October 15, many of the 1,900 employees retrenched by Jet Airways sought an audience, and solace, from maverick politician Raj Thackeray. In Delhi, former Finance Minister Yashwant Sinha and former IT and telecom minister Arun Shourie railed at the UPA. To quote, the crisis "was the result of the complacency and the cavalier attitude of the

BHASKAR PAUL



WEATHERING THE STORM: Vijay Mallya and Naresh Goyal craft an alliance for survival

UPA Government which slept at the wheel". But the crisis is not so much of fundamentals but of faith in the system.

It is this lack of faith that triggers the is-my-money-safe question. The truth is hidden in numbers and safety is couched in facts. On the face of it, two-thirds of the populace need not fear because only the remaining third have bank accounts. Of the Rs 34,00,000 crore with banks, 25 per cent are in government securities and, till last week, 8 per cent in CRR. Technically therefore, Rs 11,22,000 crore is safe. Besides, nearly 80 per cent of deposits lodged in public sector